

Negotiating the Price

There are two main keys to negotiating a price on a new car. The first is to keep the purchase, your trade-in, and the financing as three totally separate transactions. The second is to start with the invoice price (the dealer's cost) instead of trying to chip away at the manufacturer's suggested retail price (MSRP). Starting at the invoice price, subtract any manufacturer's rebates that you found on [Edmunds.com](https://www.edmunds.com) to get the dealer's real cost (include rebates the dealer receives from the manufacturer but doesn't pass on to you). Make an offer of 5 percent above that and don't allow yourself to be pressured into paying more.



The dealer profit on options is higher than the profit on the base car, so there's more room to negotiate on options. You should go to the dealership armed with information on dealer cost not only for the car, but also for any options you're thinking of adding.

Manufacturer's Rebates

Manufacturers often offer rebates, sometimes to buyers and sometimes to dealers. If you don't know about a rebate to the dealer, you could end up paying more for the car than you should, even if you're paying only 5 percent over the invoice price. You may also be able to get good deals at the end of the model year, when dealers are trying to get the current year's models off the lot to make room for next year's models.

The Dealer's Real Cost